Govt eases bidding norms for critical mineral blocks, launches fresh auctions

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The government on Thursday eased bidding norms for critical mineral auctions by reducing the minimum number of technically qualified bidders required from three to two, as it launched the ninth tranche of the auction of 20 critical and strategic mineral blocks and the third tranche of 14 exploration licence blocks.

These changes were notified under the Mineral (Auction) Third Amendment Rules, 2026 on 16 October 2026 and have now been incorporated in the newly announced auctions.

"The change, built into the tender documents for both tranches, addresses a key reason blocks have gone unsold," the mines ministry said in a statement.

In the previous eight tranches of critical and strategic mineral block auctions, 100 blocks were offered, of which 64 were successfully auctioned, while 36 remain unsold. In the past, the government has annulled the auction of several critical mineral blocks as they either received no bidders or there was a lack of the mandated three technically qualified bidders. The government has now eased the requirement for technically qualified bidders to resolve the annulment issue.

Under the ninth tranche, 20 critical and strategic mineral blocks are being offered across eight states. Chhattisgarh has the highest number of blocks at five, followed by Rajasthan, Telangana, and West Bengal with three each. Madhya Pradesh and Maharashtra have two blocks each, while Andhra Pradesh and Bihar have one block each.

The minerals on offer include graphite, glauconite, vanadium, gallium, titanium, rare earth elements (REE), bauxite, aluminous laterite, potash, halite, tungsten, scandium, and rare metals.

These minerals are critical for sectors such as clean energy technologies, electric mobility, advanced manufacturing, fertilisers, defence, aerospace, electronics, and other strategic industries.

Alongside this, the ministry launched the third tranche of exploration licence auctions, offering 14 blocks across six states. Rajasthan accounts for the highest number of blocks at four, followed by Telangana with three. Madhya Pradesh, Maharashtra, West Bengal, and Gujarat have one block each.

The exploration licence blocks cover copper, vanadium, rare earth elements, potash and halite, and associated mineralisation.

Introduced through Section 10BA of the Mines and Minerals (Development and Regulation) Act, exploration licences enable private investment in the exploration of 29 critical and deep-seated minerals specified in the Seventh Schedule of the Act, even before mining begins. So far, 11 exploration licence blocks have been successfully auctioned in the first two tranches.

The latest changes build on earlier reforms, including the Mineral (Auction) Second Amendment Rules, 2025, and the introduction of insurance surety bonds, aimed at improving ease of doing business and investor confidence.

The sale of tender documents for both auction processes begins on November 5. The last date for purchasing the tender documents is January 1, 2027, by 5 pm, while the deadline for submitting technical bids and initial price offers is January 7, 2027, by 5 pm.

Critical mineral blocks under composite licence and mining lease will be auctioned through a two-stage ascending forward auction, in which the bidder quoting the highest percentage of revenue share wins.

Processing scheme expected to catalyse ₹10,000 cr investment

The government expects its ₹2,814 crore capital expenditure support scheme for critical mineral processing to attract around ₹10,000 crore in investments, as it seeks to build domestic capacity for processing lithium and nickel, and reduce dependence on imports of high-purity materials, according to a background note released by the Ministry of Mines on Thursday.

The scheme, approved by the Union Cabinet on November 4, will run from financial year 2026-27 (FY27) to FY31 and provide a capital subsidy of 30 per cent of eligible investment for setting up four processing plants, two each for lithium and nickel. The plants will have minimum processing capacities of 30,000 tonnes each for lithium and 50,000 tonnes each for nickel. OUR BUREAU